Problem Statement: Pooled Capital, Staff Cooperatives and Cooperative Housing in Nigeria

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Purpose and scope

This document states the problem and catalogues every issue found across three research streams on how groups of Nigerians pool money to build wealth together, so that anyone designing, regulating, auditing or joining such a scheme starts from the full list of what goes wrong.

It draws on three bodies of work completed in October 2026: (1) pooled-capital business structures (legal wrappers, ajo/esusu, profit sharing, governance, tax, ventures); (2) staff (workplace) cooperatives; and (3) cooperative housing estates. Each produced sourced research notes; the first two also have full reports. This document is the issues register across all three, not a repeat of the reports.

Audience: business analysts, accountants, cooperative committees, and policy or regulatory staff. Nigeria is the primary context; Kenya, Ghana and global cooperative benchmarks appear only where they sharpen a Nigerian issue.

Statement of the problem

Nigerians pool money together at scale — 46% of adults used an informal financial service in 2023, the government claims 370,000 cooperative societies with 30 million members, and staff cooperatives hold balance sheets of up to ₦66bn — yet the money loses value, the ventures stall, and when things go wrong there is no record, no recourse and no regulator looking. The research found the same failure at every level, from a market ajo to a ₦1.3trn Ponzi to a 643-hectare cooperative estate.

Value leaks at every step. A ROSCA collector's fee alone is 3–8% of a zero-interest deposit. Registered thrift cooperatives pay members roughly 3% on savings against 33–35% inflation, so real returns are negative. Cooperative housing subscribers in Lagos

achieve a house only 27–38% of the time. Where fixed returns above the T-bill rate are promised, the scheme is almost always a Ponzi: MMM ₦18bn, MBA Forex ₦171bn from 125,397 people, CBEX about ₦1.3trn.

The wrappers do not fit the groups. Partnerships cap at 20 people and expose every member's personal property; companies cap at 50; the cooperative decouples control from capital, locks 25% of surplus in an indivisible reserve and keeps the residue on dissolution. Nothing in Nigerian law tells a group of 25 friends with ₦250,000 each what they are, when they have become a collective investment scheme, or how to hold land in their own name. More than 90% of the agri-crowdfunding platforms that tried to fill this gap defaulted.

Governance, not economics, is where the money is lost. The documented failures — NNPC Lagos cooperative's swing from ₦96m surplus to ₦806m loss with withdrawals frozen for six years, NLNG's ₦700m paid for land the vendor did not own, Apo-Tafyi's 1,000 civil servants paying since 2014 for land that never came — all trace to one person or committee controlling payments without title verification, escrow, audit or a functioning general meeting. The informal sector shows the same pattern: 35% of Lagos traders report collector misappropriation and 74.6% report significant losses.

Money is deducted but not delivered. Staff cooperatives depend on employers remitting payroll deductions; state governments, water corporations and the federal IPPIS platform have held cooperative money for 17 months to three years, and courts take six years to order repayment. Members pay twice: once in deductions, again in lost loans and frozen savings.

The system is unmeasured. No Nigerian default rate exists for ajo, cooperatives or hire-purchase; the national cooperative registry holds 19,786 societies against a claimed 370,000; Lagos' own figures for cooperative capital differ five-fold in the same year; Nigeria has no row in the global credit-union statistics. Regulators detect schemes after they grow, and the primary legal texts — fee schedules, the Cooperative Societies Act, the 2025 tax acts — are largely inaccessible to the people who must comply with them.

The problem, stated plainly: Nigeria has a large, growing and socially essential practice of collective saving and investment that operates without fit-for-purpose legal forms, without enforceable controls on the people who hold the money, without reliable delivery of the assets promised, and without the data to know how often it fails.

Issues: pooled capital and group business structures

Forty-six distinct issues, grouped by where they arise. Figures are from the research notes; dates are stated where the source gave them.

Legal structures and wrappers

- **Headcount caps leave a hole between 20 and 50 contributors.** General and limited partnerships cap at 20 persons, private companies at 50 (CAMA s.22). Any larger pool must be a cooperative or an SEC-registered scheme; an LP holds at most 19 passive investors.
- **The cheapest wrapper gives no protection.** A business-name partnership (₦21,000, Sept 2025 schedule) records a name only: no legal personality, joint and several unlimited liability, and no succession when a partner dies or leaves. Under-advised groups default into it.
- **Unregistered groups cannot hold assets and expose every member.** An informal group cannot hold land or a bank account in its own name without nominees, and members may be personally liable to the full extent of damages. No Nigerian case law or statute on unincorporated associations was found.
- **Limited partners lose their shield by managing.** Under CAMA Part D a limited partner who takes part in management is liable as a general partner, and unauthorised withdrawals of capital create liability up to the sum withdrawn.
- **The cooperative decouples control from capital and traps residual value.** One member one vote (s.25), a one-fifth cap on any member's share capital (s.27), at least 25% of surplus to an indivisible reserve (s.34), dividends capped around 5%, and on dissolution the residue goes to the Director of Cooperatives, not members.
- **Cooperative registration is slow and varies by state.** Two to three months plus three months' monitoring in Lagos, or a three-year recognition letter in some states; registrars impose 20 members for thrift and credit and 50 for agriculture against the Act's 10.
- **The SPV or syndicate model has no Nigerian legal home.** US syndicates use a Delaware LLC under Rule 506(b) for about $10,000. In Nigeria ISA 2025 s.150 defines a collective investment scheme "in whatever form" with no investor-count or value threshold, and SEC has no rules for private syndicates.
- **Shareholders' agreements are fragile.** They must expressly override CAMA model articles, cannot displace mandatory provisions such as director-removal thresholds, are not filed at CAC, and bind newcomers only by deed of accession. A 50/50 split

without a deadlock clause freezes the company.

- **Statutory defaults punish groups without a written deed.** Absent a deed, the Partnership Act 1890 s.24 and Lagos Partnership Law s.23 impose equal shares regardless of contribution, no salary, no interest on capital and 5% on advances.
- **Primary legal texts could not be verified.** CAMA director-duty sections, the full Cooperative Societies Act and the CAC fee schedule were paywalled or returned HTTP 403, so several rules rest on law-firm summaries.

Informal models: ajo, esusu, chamas and investment clubs

- **ROSCAs return zero or less.** The organiser gets an interest-free loan; everyone else lends for nothing. The alajo keeps one round′s contribution: 8.3% of a 12-round cycle, 3.2% of a 31-day daily cycle. Members join for credit access (43.5%) and discipline (39%), not yield (Lagos survey, N=1,200).
- **Early recipients default two to three times more often.** Shriram Chits data: 1.74% default for first-half recipients against 0.54% for second-half. Nigerian ajo prices and collateralises none of this.
- **Collector fraud is routine.** In the Lagos survey 82% said deviant practices are common; misappropriation 35%, non-payment 35%, collectors vanishing before the cycle ends 30%; 74.6% reported significant losses. Collectors disappear with a month′s contributions at Christmas.
- **Enforcement is purely social.** The system runs on "an oath of allegiance and mutual trust"; government has no protective role. India by contrast requires a foreman deposit and Registrar supervision for chits.
- **Groups fail where trust is stretched.** A stranger-collector, a group too big to monitor, or a club that is really a pyramid. In Kenya 13% of chamas suffer embezzlement and most collapse within two years.
- **One red flag is reliable: meetings stop and money goes to the treasurer.** Nairobi and Machakos treasurer frauds (KES 70,000 and 300,000) followed exactly this pattern; 28.9% of Kenyan chama users report unexpected charges.
- **Cooperative registration gives legitimacy without supervision.** Famzhi Interbiz (2021) took about ₦30bn promising 30% a month while "posing as a cooperative"; nothing in registration detects public recruitment for fixed returns.
- **Investment clubs have no Nigerian rule set.** No standard for unit (NAV) valuation, withdrawal notice or when a club crosses the SEC perimeter; a club that prices units and takes withdrawals is structurally a private open-ended fund.

- **Digital ajo is only as safe as the licensed entity holding the money.** CBN licenses entities, not products; consumer apps such as PiggyVest group savings (₦1.3trn paid out in 2025) are commitment devices, not ROSCAs. No regulator has written a ROSCA rulebook.
- **Informal use is rising, not shrinking.** 46% of adults in 2023, up from 29% in 2016 (EFInA). Replacement is not the answer; custody, records and unit accounting layered on existing groups are.

Capital contribution and profit sharing

- **Sweat equity earns no capital credit and may be taxed.** A member contributing only labour has capital of ₦0 and, under pro-rata sharing, receives ₦0 of a ₦2.14m profit. Under US rules a capital interest for services is taxable compensation.
- **Unwritten in-kind valuations cause most contribution disputes.** The deed must record the agreed value, the valuer and liabilities assumed (a ₦3m truck with an ₦800k loan is ₦2.2m of capital).
- **The 5% statutory rate on member loans is far below market.** With T-bills at 15–20% (2025–26), a member lending ₦1m at the default rate is under-compensated and will dispute it.
- **The sharing method moves outcomes by hundreds of thousands of naira on the same profit.** Pro-rata gives member A ₦1m and E ₦0; salary plus 10% interest plus equal residual gives A ₦594k and E ₦694k. A full catch-up triples a sponsor's take from 6.7% to 20% of profit. Yet 73% of teams split equity in the first month.
- **Salaries and interest are still credited in loss years.** A ₦300k trading loss becomes a ₦1.97m divisible loss once a ₦600k salary and ₦1.07m interest are appropriated.
- **An insolvent partner's deficit falls on the others by capital ratio** (Garner v Murray). No Nigerian authority was found, so deeds must state the rule themselves.
- **Allocation and distribution are separate, creating tax on cash never received.** Nigerian partners pay PIT on their share whether distributed or not; few deeds have a tax-distribution clause.
- **Admission accounting silently changes buyout values.** Goodwill versus bonus method on the same ₦30,000 buy-in produces different capital totals and therefore different later book-value buyouts.
- **No Nigerian norm for exit valuation or a deceased partner's share.** Buy-sell formulas, instalment periods and key-person insurance availability are undocumented; only cooperatives, with mandatory nominees, avoid this.

- **Cooperative appropriation is hard-coded in law but no worked Nigerian example exists.** At least 25% to reserve, up to 10% to education, dividend capped, bonus by patronage (s.34, s.57); breach carries six months' imprisonment.
- **Late or unpaid contributions have no standard remedy.** The sources name the dispute but give no accepted cure.

Governance and management

- **People problems drive about two-thirds of team failures.** Wasserman's 65% figure (with weak 1989 provenance) and Nigerian commentary agree on five faults: undefined roles, contribution imbalance, financial chaos, ambiguous exits, trust decay.
- **One unilateral decision can collapse a funded venture.** Pivo raised $2m in November 2022; the CEO appointed a relative without consulting the co-founder; investors warned in May 2023; shutdown in December 2023.
- **Equal splits among friends hide unequal effort and blur property.** Nigerian partners show an "inability to differentiate between personal and business affairs".
- **Decision rights are not tiered in informal agreements.** Real agreements use three tiers (manager; simple majority; 75% or unanimity for borrowing, admitting members, changing the split). No Nigerian customary naira threshold exists.
- **Voting basis is chosen by default.** Companies vote by shares, cooperatives by head; groups with wide contribution disparity rarely choose deliberately.
- **Small organisations lose a median $141,000 per fraud.** ACFE 2024: owner-perpetrated frauds median $500,000; 32% from absent controls, 19% from override; tips find 43% but small groups have no tip channel. No Nigerian cooperative fraud statistics exist.
- **Sole-signatory control and bank lock-outs recur.** Cooperative bye-laws answer with two-of-three trustee signatures, 48-hour banking, no blank cheques and a voucher per payment; informal groups have none of this.
- **Information rights are assumed, not written.** A Kenyan 33% shareholder was removed and denied records; only a court-ordered valuation restored him. Partnerships must grant inspection rights expressly.
- **Deadlock devices disadvantage the cash-poor.** Shotgun and Texas shoot-out clauses assume two equal, informed, liquid blocs; no Nigerian court has enforced one.
- **Non-performing members lack defined expulsion and buyout.** Dissolution becomes "legally expensive without pre-negotiated buyout formulas".
- **Compliance calendars are missed and CAC penalties now attach to directors personally** (since January 2024), with daily default fines under s.425.

- **No mechanism socialises a venture's failure.** Mondragón redeployed 1,710 of 1,800 Fagor workers after its 2013 bankruptcy; no Nigerian group structure can absorb a member venture's collapse.

Tax and regulation

- **The CIS perimeter is unquantified.** Unregistered fund activity costs at least ₦10m plus ₦100,000 a day (ISA 2025 s.155(4)), but no threshold tells a club when it has crossed the line.
- **Crowdfunding rules exclude the pool-and-invest model.** Only incorporated MSMEs with two years' trading may raise, capped at ₦50m–₦100m a year; issuers that on-lend or re-invest are barred, so investment clubs cannot use it.
- **Taking deposits from non-members is a BOFIA offence** (up to five years, at least ₦50m), and a 2011 CBN policy requires financial cooperatives reaching ₦20m assets or 2,000 members to become licensed institutions.
- **The 2026 small-company threshold is a cliff.** Turnover ⩽ ₦100m and fixed assets ⩽ ₦250m pay 0%; one naira over pays 30% plus a 4% levy on the whole year. Fully distributed, the large-company route costs about 40% against a maximum 25% through a partnership.
- **Audit exemption and tax exemption use different tests** (CAMA ₦120m turnover/ ₦60m net assets versus NTA ₦100m/₦250m), so both must be tracked each year.
- **Cooperative tax exemption excludes commercial trading**, forcing segregated accounts for any venture or public trade.
- **Capital gains on share exits tripled.** The flat 10% CGT is repealed; gains now fall into 30% company or up to 25% personal rates, with rollover relief gone.
- **Partnership pass-through taxes undistributed profit**, and LLP profits are deemed distributed; loss offset rules are unsourced.
- **Salaries to active members carry 21.5% on-costs** (pension 18%, NHF 2.5%, compensation 1%) that a 10% final-WHT dividend does not, cutting against the governance advice to pay working members.
- **VAT thresholds are unreconciled**: ₦50m registration versus ₦100m small-company relief, with no primary source explaining the overlap.
- **Five regulators, reactive detection, weak verification.** NRS, CAC, SEC, CBN and State Directors overlap; before ISA 2025 SEC could not prosecute Ponzi operators at all.
- **No statutory partner statement exists** (no K-1 equivalent), so partners' PIT filings rest on whatever the partnership chooses to issue.

Business ventures and Ponzi exposure

- **More than 90% of agri-crowdfunding platforms defaulted.** ThriveAgric ran 12–24 months late by October 2020; Crowdyvest owed ₦7.7bn by November 2023; Agropartnerships was declared illegal with refunds still unpaid three years on.
- **Ponzi losses dwarf the savings they imitate.** MMM ₦18bn (2016), MBA Forex ₦171bn from 125,397 investors (2020), Famzhi ₦30bn, Chinmark ₦40bn, CBEX about ₦1.3trn (2025) with forged regulatory certificates.
- **Groups have no hurdle rule.** Anything promising more than about twice the T-bill yield without a seizable asset is speculative; monthly double digits is the Ponzi pattern. No regulator gives clubs this test.
- **Advertised returns are unaudited and diverge from documented ones.** Short-let yields claimed at 24–32% against 8–12% realistic; Lagos occupancy trackers disagree two-fold (75% vs 43%); Keble's "up to 30%" is a platform claim.
- **Land carries title fraud and non-allocation risk.** Over 500 subscribers paid for Abijo plots in 2021 and none were allocated; the successes (Nicon Town, NIMCOS) depended on legal title plus an employer bond.
- **Operator-dependent ventures fail when nobody supervises.** LAGBUS had 803 buses in 2012 and about 200 roadworthy; hire-purchase default is "a monster". If no member can inspect weekly, hold passive instruments.
- **Ventures above about ₦40m need 100-plus members or institutional co-funding**, which is why that tier belongs to staff cooperatives.
- **Regulated group-investing infrastructure is thin and recent.** A handful of SEC portals since 2021 with no independent payout data; no SEC master list was retrievable.
- **Certificates cannot be trusted.** CBEX forged its regulatory documents; verification must be done on SEC's own portal, which the public rarely uses.

Issues: staff (workplace) cooperatives

Fifty-four issues. The staff cooperative is a payroll bank: credit risk is near zero because loans are repaid before the member sees the salary (TotalEnergies' society reports a 0.157% NPL ratio), so almost every problem below is governance, liquidity, remittance or data.

Formation and registration

- **Registration takes three months in Lagos and three years in Abuja** despite the Act's 60-day deadline (s.5). The FCT issues a Recognition Letter valid three years before a full certificate; a society's legal status depends on where its secretariat sits.
- **Minimum-founder rules conflict.** The Act says 10 (s.3(1)); Lagos requires 20 aged 18+; the FCT quotes members 15+ and board 18+; the Act says 16+. Ten to nineteen staff can register in Abuja but not Lagos.
- **No state publishes a fee schedule.** The Act sets "₦100 or such other sum as prescribed"; the FCT's ₦25,000 comes from a December 2025 law-firm article; a Lagos "₦130,000 minimum" exists only in a search snippet.
- **Registration is not permanent.** The FCT has run mandatory recertification since 2018 for societies with poor records, overstaying officials and "sharp practices"; Lagos revalidated 2,359 societies and approved 807 annual accounts in one year against 16,000+ registered.
- **Primary legal texts are unavailable.** The Lagos Cooperative Societies Law 2022, regulations under Act s.56 and any official model bye-law could not be retrieved.
- **A federal digital layer is arriving without a bill.** The 2025–2030 reform plan adds a national register, Cooperative Verification Number and member CoopID (Seamfix MoU, 12 Aug 2026), but as of October 2026 no bill is before the National Assembly.
- **The payroll check-off has no statutory basis.** Neither the Labour Act nor the Cooperative Societies Act provides for it; the whole engine rests on each member's signed consent (Labour Act s.5(2)) and a contractual tripartite agreement.

Payroll deductions and employer remittance

- **Employers deduct but do not remit.** In Oredo LGC Staff Cooperative v Oredo LGC (NICN, 14 Jan 2025) the council stopped remitting in September 2018; ₦127.46m accrued; judgment for ₦112.46m plus 10% interest came more than six years after the first default.
- **State non-remittance is chronic.** Ogun: 17–21 months unremitted (2021–22, "billions"), members unable to pay school fees, an indefinite strike. Oyo Water Corporation: ₦122m to over ₦200m, Secretariat locked twice. Kwara Water: about ₦70m over ten months.
- **The federal IPPIS platform withholds cooperative money.** ₦4.4m deducted from NBS Kwara staff in December 2021 was still unremitted in November 2024, reachable only by physical letter; lenders put IPPIS arrears at ₦12bn across 2,400 civil servants.

- **Even oil-sector branches report "continual delayed remittance"** (PPMC Port Harcourt AGM, FY2021–22).
- **The society is an unsecured creditor of its paymaster and nobody tallies the exposure.** Kenya's SASRA reports KSh3.49bn (2024) rising to KSh3.92bn (2025) withheld from 104,000 members; Nigeria has no equivalent figure.
- **No statutory remittance deadline and no model MoU.** Act s.49 arbitration cannot bind the employer, a non-member, so court is the only remedy.
- **The one-third deduction cap is not enforced across lenders.** Kano found 21,000 of 61,000 public servants indebted to private lenders, many with near-zero take-home, and suspended all deductions for three months (April 2025).
- **Deductions are taken without proven consent and dues are diverted.** The NICN ordered a ₦455,000 refund where consent was unproven; Kaduna teachers' dues have gone to a rival union for over three years (unresolved, October 2026).

Governance, controls and liquidity

- **Supervision is administrative, not prudential.** The Director can audit, take over management for two years (s.37), surcharge and dissolve, but no society publishes an NPL, capital or liquidity ratio; Kenya publishes 8.2%, 12.5% and 18% for the sector.
- **Savings carry no deposit insurance**, unlike microfinance-bank deposits (NDIC cover to ₦2m; 46 MFB licences revoked July 2026 with payouts).
- **Governance paralysis froze 4,000+ NNPC Lagos members' savings for six years.** ₦96m surplus in 2021, ₦806m loss in 2022, no accounts or AGM since, no dividends for about ten years; members demand a forensic audit.
- **Regulator intervention can deepen a crisis.** The Lagos Ministry dissolved NNPC's committee and imposed a caretaker; members allege changed bank signatories, a disputed ₦180m transaction and ignored court orders. Three suits pending.
- **Real-estate concentration makes a thrift society illiquid.** Police cooperative withdrawals went from 24 hours to 2–12 months (2022–23) with funds alleged in Ikeja construction; the Act's s.33(c) sets no cap on illiquid assets.
- **Outside land fraud is the costliest single event.** NLNG's society paid ₦700m in October–November 2011 for 643 hectares the vendor could not sell; conviction came in 2025 after a ten-year trial, with ₦580m restitution ordered and recovery unknown.
- **Insider culpability was never adjudicated.** The NLNG president and vice-president were charged in 2015; one died, one was acquitted.

- **Lost records erase member balances.** A retired CSP with 35 years' service was told the Police cooperative can pay only from 2019, when it computerised; earlier records were "mutilated".
- **Officers overstay, keep cash personally and lack skills.** EFInA found managers "tend to keep the money themselves" and that "many co-operatives have failed due to the Executives lacking managerial skills".
- **Members pressure committees to breach loan rules**, and legacy borrowing binds successors: PPMC Port Harcourt is servicing a ₦1bn bank loan taken by a previous committee.
- **Penalties and reserve rules are outdated.** The Act's ₦1,000 fine is a 1993 figure; the 25% reserve need not be held in liquid form.
- **Non-core ventures carry unmanaged strategic risk.** Chevron's society runs an MFB; Total's runs shops, a café and a guesthouse; the planned Cooperative Bank of Nigeria will ask large societies for ₦21–50m each. Kenya's Mwalimu lost about KSh10bn on Spire Bank under full regulation.

Member returns and economics

- **Real returns on savings are deeply negative.** PPMC paid 2%; NAN paid 3% on ₦438.69m (FY2025); against 33–35% inflation that is a real loss of about 30 points. Kenyan members earned 10% on deposits plus 13–16% dividends against 5% inflation.
- **Members want higher dividends but reject what would fund them.** 58.8% call dividends inadequate; 79.2% oppose higher loan rates; 75.8% oppose outside investment (Redeemer's University survey, n=480).
- **Loan pricing varies four-fold.** CBN's society lends at 5–12.5%; Shell's CoopEast at 18–21%; universities at 10–19%. A 5% loan funded by 2–3% savings is a transfer from savers to borrowers.
- **No society publishes dividend as a percentage of savings, an NPL ratio or portfolio composition.** AGM reports give naira totals only (INEC 64% payout, Shippers' Council 50%, NAN 69%).
- **Housing reaches a minority.** Lagos institution cooperatives delivered on 23.8% of housing subscriptions; 27.2% of housing-cooperative members achieved their objective; NMDPRA had 1,000+ applicants for 430 units.
- **Leavers get savings and shares only**, with no share of estates or portfolios built with their money.

- **Exit is costly and slow.** NFIU charges ₦20,000 and caps voluntary withdrawals at 60% once a year; UNN takes a 10% service charge; waits of three months are common.
- **Welfare is self-funded, not insured.** Only 30.8% of surveyed cooperatives had any health budget; no staff society with an HMO or group-life scheme was found.
- **Default dominates wherever payroll fails.** Ekiti and Lagos studies find default "discouraged most cooperative societies from granting loans" and eroded capital; 42% of borrowers carry balances.
- **Growth is bifurcated and the community segment is in real decline.** Lagos capital grew from ₦32bn to ₦33bn (2019–21); Total's society doubled to ₦66.3bn; devaluation roughly halved the sector's dollar value.

Membership lifecycle and member harm

- **Civil servants are over-indebted across stacked lenders.** "Loans finish everything" (GL14 officer, July 2026); the Staff Housing Loans Board says heavy deductions make workers ineligible for housing loans.
- **No cross-lender credit bureau exists**; loan stacking is controlled by self-declaration only.
- **Set-off and surety rules make savings illiquid collateral.** Act s.16 gives the society a first charge over savings, shares and dividends; bye-laws bar exit while indebted or standing surety.
- **Retirees are the most exposed.** Loss of payroll link, set-off against gratuity, frozen withdrawals (one NNPC retiree has ₦15m locked since 2020) and lost records.
- **Contract and unconfirmed staff save but cannot borrow**, and membership ends when they leave the payroll.
- **Minimum savings of ₦10,000–₦20,000 a month are a large share of junior pay**; affordability is undocumented in Nigeria but is Kenya's top barrier (54.5%).
- **The first meaningful loan arrives in year two**, after 6–12 months' waiting and a 2x–3x savings multiple.
- **Dormancy and death strip value.** Six months' non-payment suspends an account; nominees receive balances less debts.
- **Past members stay liable for society debts for two years** (Act s.29).

Employer-side issues

- **The employer inherits fiduciary liability** for unremitted sums, with 10% interest (Oredo).

- **Non-remittance becomes industrial action**: Oyo Secretariat lock-ins (2021, 2023), Ogun indefinite strike (2022), Niger protests (2025).
- **No measured employer benefit exists.** Retention, absenteeism and productivity effects have never been studied; the case rests on HR commentary.
- **Reputational contamination.** NNPC members demand that NNPC Ltd rescue a legally independent society.
- **Restructuring shrinks membership.** PPMC lost 8% of members to redeployment in a year; Shell's 2025 SPDC sale leaves cooperatives redefining their common bond.
- **The patron role is informal**; no employer has been documented guaranteeing a loan or conditioning check-off on audited accounts.
- **Employer-controlled deduction files cause errors**: duplicate IPPIS deductions, Defined Benefit staff wrongly debited, unproven consent.

Sector size and data

- **Headline figures are unaudited.** 370,000 societies, 30m members and ₦1.7trn (described variously as assets and as turnover) come from ministerial statements; the federal database holds 19,786 societies.
- **No count of staff cooperatives exists**; evidence is a handful of self-disclosed balance sheets.
- **Nigeria is absent from WOCCU's Africa tables** and holds at best one-eighth of Kenya's regulated SACCO assets with four times the population.
- **Register versus reality**: Lagos 16,000 registered, 2,359 revalidated, 807 accounts approved.
- **No time series, no NBS or CBN data, no loan-book series.**
- **Large societies publish nothing**: CBN (9,000+ members) and NNPC (7,606) have no public financials.
- **Welfare evidence is unanimous in direction and weak in design**: all Nigerian studies are member-only Likert surveys with no control group.
- **Participation rests on one 2009 sample** (FUTA, 92%).
- **Ponzi schemes dressed as cooperatives damage the brand**: Baraza (Bayelsa, 2021) took about ₦40bn from 30,000 investors.

Issues: cooperative housing estates

Fifty-two issues. The pattern across every failure is the same: money collected from members before unencumbered title is secured, then paid to a vendor or developer by a small executive without escrow, verification or a bonded contract.

Delivery process and models

- **Cooperatives default to land-only schemes and leave conversion to members.** A 2020 Lagos study of 401 cooperative leaders found societies "most active in land acquisition" but weak at building; estates fill slowly (Nicon Town took 2001–2007) and capital sits in unserviced plots.
- **Risk allocation per model is undocumented.** Land-only puts title and infrastructure risk on the society and construction risk on members; turnkey puts developer default on the society; JVs give up 50–70% of units for zero construction cash. No three-way state split, cooperative rent-to-own or group-discount percentage was found.
- **No cooperative-specific internal process exists.** Demand surveys, allocation criteria (ballot, seniority or payment order), estate bye-laws and mid-project price-escalation rules appear in no Nigerian source.
- **The critical path is 18–36 months to serviced plots and 3.5–5 years to turnkey handover**, stitched from generic stages: consent 3–12 months, layout approval 3–24 months, permits 6–14 weeks, CHDL construction 24 months. No estate-level timeline is published.
- **Off-plan cash-flow dependence causes stalls, and contracts penalise buyers only.** About 250,000 housing projects are reported stalled nationwide (October 2026); an NSCDC staff estate in Ondo lay unfinished five years after award.
- **No procurement protocol, bond or escrow standard.** Performance bonds and milestone escrow are described generically; FMBN's disbursement control is the only payment protection in use.
- **Capacity is weak.** Osogbo cooperatives ranked lack of experience with housing loans, inadequate collateral, lack of credible leadership and poor credit information as their top delay drivers (110 of 437 societies, 2019–20).

Land title and legal risk

- **One master Right of Occupancy concentrates the whole membership's exposure.** Under the Land Use Act a cooperative holds a revocable right; one missed ground-rent cycle or a two-year non-development breach can extinguish every member's interest.

Members with allocation letters hold equitable interests only and cannot mortgage.

- **FCT bulk revocations hit cooperatives.** Waves in September 2023 (165 plots), October 2023 (600+), December 2024 (762), January 2025 (568 Maitama II, including the NFIU staff cooperative), March 2025 (4,794 titles, 8,375 owners owing ₦6.97bn) and November 2025 (1,095). A presidential pause in May 2025 gave 14 days.
- **New FCT rules impose 21-day payment and two-year development deadlines** (from 21 April 2025). A cooperative that cannot fund C-of-O fees loses the land outright.
- **Area Council titles are a backlog and a forgery risk.** Of 261,914 documents submitted since 2006, 2,358 were regularised by April 2025; 485 were nullified as fake in February 2026, including the Kuchiyako layout where NIMCOS's 1,000-unit scheme sits. Only 2 of 445 mass-housing developers have complied with their terms.
- **Double allocation is persistent.** In Olabanji v Minister FCT (February 2025) a 1993 allocation beat a 1999 C of O; the loser's only remedy is against the authority. Lagos has the parallel omo-onile double-sale problem.
- **"Excision in progress" land has no valid title.** Community land at Ibeju-Lekki and Epe cannot be perfected, sub-assigned or pledged until gazetted; the process runs about 14 steps with no published fee, and an industry claim puts failed approvals at 80%.
- **The FMBN title catch-22.** CHDL requires unencumbered titled land, but about 90% of Lagos land is untitled (World Bank 2023), a C of O costs ₦3–10m and takes 12–24 months, and cooperatives lack the capital to acquire titled land first.
- **Governor's Consent is slow and now far more expensive.** Nominal 30 days, actual 3–12 months, about 3% of value plus 2–5% legal; the Lagos Blue Book effective 1 May 2026 raised prime-area charges up to 300% (Lekki Phase 1 ₦12–18m to ₦40–90m).
- **The member title chain is taxed twice and often never completed.** Each sub-lease attracts its own consent, stamp duty and registration; where the master title is never perfected, no member deed can be registered and a later purchaser who perfects wins.
- **No sectional or strata title statute exists for flats**, so the cooperative remains permanent title-holder for common areas in every high-rise product.
- **Layout approval, not title, is Lagos's gating document.** On 4 August 2025 Lagos listed 176 estates as illegal for lacking layout approval, including a staff housing estate at Oribanwa; demolitions followed at Ikota (17 buildings) and Ikate-Elegushi.
- **FCT demolitions of unapproved estates** on waterways and green areas continued through 2025 (24 buildings at Guzape; 56+ duplexes at Wumba).

- **Omo-onile levies persist despite the 2016 Lagos Properties Protection Law.** Stage-by-stage "settlement" demands continue even on legally acquired land; no source quantifies them for cooperative-scale parcels.
- **The cooperative legal form limits estate business.** Act s.17 restricts non-member transactions; LASRERA registration became criminally enforced from 28 June 2025; the Nigeria Tax Act 2025 s.163 removes the tax exemption for gains on assets acquired for a trade. Selling surplus plots to the public risks all three.
- **Recurring charges on undeveloped plots are undecided.** Lagos doubled the undeveloped-land surcharge to 100% from 1 January 2026; FCT ground rent is due every 1 January and revocation-enforced; who pays during pre-development is rarely settled.
- **Member agreements are weak and dispute routes slow.** The NFIU bye-law covers withdrawal and nominees but has no allocation, forfeiture, refund-timing or resale clause; disputes go first to the Director of Cooperatives, not a court.
- **At least five regulators share the estate, none oversees it whole**: Lands Bureau or AGIS, Surveyor-General, planning authority, Director of Cooperatives, LASRERA.

Financing

- **Member equity is payroll-bound and capped at one-third of wages.** A ₦15m unit on a 36-month plan needs ₦416,667 a month, implying ₦1.0–1.25m gross pay, four to eight times GL08 civil-service pay.
- **FMBN's cooperative loan is small, short and title-gated.** Up to ₦500m at 10% over 24 months with a 12-month moratorium; the cap is dwarfed by current build costs (Police: ₦4.74bn for 606 units) and the terms date from 2020–22 press.
- **Capitalised interest adds about 10% to project cost**: a ₦500m facility accrues roughly ₦50m in the moratorium year, or about ₦500,000 per unit on a 100-unit estate.
- **Approval is not disbursement.** As at January 2021 FMBN had approved ₦35.78bn of development loans and disbursed ₦10.95bn; FMBN itself lists "loan approval doesn't guarantee immediate fund access" among ten delay reasons.
- **NHF take-out mortgages limit affordability even at 6%.** The ceiling rose to ₦50m (February 2025) at 6% over 30 years, but a ₦50m loan needs about ₦800,000 salary; FMBN has mortgaged under 1% of 5.47m contributors since 1997.
- **Front-loaded spend against flat inflows creates a working-capital gap**, and no cooperative estate with a published cash flow, overrun clause or escrow was found.

- **Inflation and FX shocks under-recover fixed early prices.** Cement went from ₦4,050 a bag (2022) to ₦11,000–15,000 (2026); sharp sand roughly tripled in 2025–26; the naira moved from ₦639 to over ₦1,500 per dollar. A ₦15m 2024 unit plausibly cost 30–50% more by 2026, with no rule on who absorbs it.
- **Refunds are delayed and funds appear commingled.** Police members waited six-plus months for voluntary contributions (November 2022); a Kwara society quoted 6–12 months to refund ₦2.1m.
- **Non-FMBN finance is scarce or expensive.** Sub-10% rates exist only with subsidy (NHF, MREIF 9.75%, Lagos HOMS 6%); NMRC funds at 17.25%; banks lend at 18–28% with the maximum lending rate at 35.17% (May 2026). Bank and DFI project finance reached only oil-company and Customs cooperatives.
- **Pension-backed equity is narrow and unused.** PenCom allows 25% of an RSA once, after 60 months' contributions; no uptake figure is published and seven mortgage banks were later barred.

Costs and pricing

- **Fringe-Lagos costs now exceed affordable benchmarks.** A serviced plot runs ₦7–15m and a 3-bed bungalow ₦26–65m more (2026), against Woodhill units at ₦7.5–9.5m in 2020; replacement cost is up about 300% since 2020–21.
- **Self-provided infrastructure adds 20–30% to project cost**: ₦20–55m per acre, with roads and drainage 40–55% of that. Land and survey are only 30–40% of total investment, so land-only budgets under-capitalise.
- **Construction-cost data conflict two- to three-fold and no official index exists.** Figures range from ₦150k to ₦600k+ per m²; NIQS publishes no open index.
- **The cooperative discount to market is asserted but never quantified**; no offer letter or bye-law states a margin.
- **Transaction overheads of 8–18%** (transfer taxes, lawyers, agents) are rarely budgeted in member prices.

Delivery outcomes

- **Only 27–38% of members achieve their housing objective** (Lagos studies, 2017); six or seven in ten do not get what they subscribed for.
- **Large pools produce little housing.** Lagos cooperatives hold about ₦33bn and over 2m members, yet Oyo cooperatives mobilised only about ₦146m for housing in ten years.

- **The cooperative channel is 1–5% of formal supply**, which is itself 7–14% of annual need (50,000–100,000 units against 700,000–820,000).
- **Public-service schemes are reported as approvals, not deliveries.** Police, Customs and the roughly 40 CHDL projects have no completion ledger; only NIMCOS Gwagwalada (150 units, July 2026) and Woodhill have commissioning reports.
- **No longitudinal data exist.** Of 40 studies (2009–2026), 75% are cross-sectional and none tracks time to allocation or abandonment.

Governance of estate projects

- **No Nigerian cooperative estate documents an escrow or performance bond**; the equivalent in successes is lender-controlled milestone disbursement.
- **Executives transact land without independent title verification.** NLNG, NNPC and RCCG committees paid vendors directly; only 36% of Lagos cooperatives prepare regular financial statements, and governance explains 53.89% of the variance in housing outcomes (2026 study).
- **Money before title is the root cause.** Every failure collected first; every success bought approved layouts, had state approval or held title as a loan condition.
- **Allocation, escalation and exit rules are unpublished and untested.** Members can be trapped for 9–17 years (Apo-Tafyi, Koroduma); the Egan-Igando refund of 145 subscribers (July 2024) took over five years.
- **Flagship successes are opaque.** No AGM communiqués, audits or contracts from Chevron, Shell, Mobil, Total or NIMCOS estates are public; Kenyan SACCOs publish price tiers at launch.
- **Transparency alone does not prevent carrying-cost failure.** NFIU publishes its bye-law and audited accounts yet is reported to have lost a Maitama II plot over ₦298m in fees.
- **Appreciation accrues to individuals, not the society, with no asset lock.** Nicon Town plots (₦5m in 2001, about ₦1.4bn asking in 2026) trade at market; affordability is not preserved for later members, unlike Zurich, Vienna or Mitchell-Lama.

Documented failures and frauds

- **Apo-Tafyi FGN/NLC scheme (2014–)**: 1,000 civil servants; 160 identified subscribers paid ₦406m; no land, house or refund by February 2023. Unresolved.

- **NLNG Idu-Sabo (2011)**: ₦700m paid for 643 hectares the vendor could not sell; conviction 31 July 2025 after ten years; ₦580m restitution ordered, recovery unknown. Two insider officers charged in 2015; one died, one acquitted.
- **NFIU Maitama II (January 2025)**: plot revoked among 568 for unpaid C-of-O fees; ₦298m reported owing. Press-reported, unverified against the FCTA list.
- **FMBN Kaba District**: $65m lent for 962 homes, none built, funds moved offshore; final forfeiture December 2025, land returned July 2026.
- **RCCG Abuja parish scheme (2017)**: about ₦600m alleged embezzled from 200+ subscribers; church withdrew; no outcome.
- **NNPC cooperative (2017)**: ₦400–800m alleged diverted to Kaduna land and a Dubai investment; EFCC investigation, no outcome.
- **Nasarawa Koroduma**: allocation letters in 2007, no plots 17 years later.
- **Litigation is slow and recovery partial.** NLNG waited 14 years; Apo-Tafyi is unresolved after nine; no appellate decision on a cooperative estate allocation exists.

Market context

- **The housing deficit is contested**: 14.9m (national committee, 2025), 15.56m (World Bank, 2021), 17m (World Bank, 2015), 22m (Lagos, 2025), 28m (federal, 2023). Any sizing rests on a disputed denominator.
- **Mortgage penetration is 0.6% of GDP** with 24,654 mortgages outstanding (2023) and cited default rates near 60%.
- **Lagos price-to-income is 19.2x**; under 5% of supply is priced below ₦15m against 55% of demand; home ownership fell from 30% (2019) to 20% (2024).
- **A cement oligopoly and FX collapse drove 300–500% input inflation**; three manufacturers hold over 95% of capacity.
- **Rental yields of 3–8% against T-bills at 16–19%** make land a hold-for-appreciation asset, so members keep allocated plots unbuilt.
- **Policy treats cooperatives as demand aggregators**, and the recent successes (NMDPRA's 430 units) worked because the employer paid the 30% equity.

Cross-cutting root causes

Seven causes recur across all three streams. Fixing any one of them would remove several dozen of the issues above.

1. **One person or small committee holds the money with no second control.** The alajo who vanishes at Christmas, the Pivo CEO, the NLNG and NNPC committees that paid land vendors, the Police executive who moved savings into construction. Two-of-three signatures, escrow and independent title search are known controls; they are absent in nearly every informal group and most registered ones.
2. **Money is collected before the thing it pays for exists or is secured.** Off-plan subscribers fund infrastructure, cooperatives collect before title, crowd-farming platforms take deposits before planting. Every stalled estate and every agri-platform default shares this sequence; every completed estate reversed it.
3. **Legal wrappers were designed for firms, not for groups of savers.** Partnerships expose every member and cap at 20; companies cap at 50; the cooperative locks residual value and gives no control to capital; the collective-investment perimeter has no threshold. Groups therefore default into the cheapest form, usually the least protective.
4. **Returns are negative in real terms, so the only value is the borrowing option or the land.** Three percent on savings against 35% inflation; a ROSCA fee of 3–8% on a zero-interest deposit; land held unbuilt because T-bills out-yield rent. This pushes members toward schemes promising more, which are Ponzis.
5. **The paymaster is also the biggest credit risk.** Staff cooperatives are unsecured creditors of state treasuries and the IPPIS platform; housing cooperatives are unsecured creditors of developers and the FCT. No regulator tallies this exposure and courts take six to fourteen years to rule.
6. **Nothing is measured.** No default rate for ajo, cooperatives or hire-purchase; no count of staff cooperatives; a national register of 19,786 against a claimed 370,000; five-fold conflicts in Lagos's own capital figures; no transaction-price index; no NPL ratio from any society. Policy, lending and member decisions are all made blind.
7. **Rules exist on paper but the texts are unreachable and the regulators are fragmented.** Fee schedules, the Cooperative Societies Act, the Lagos 2022 Law, the 2025 tax acts and FMBN loan terms all returned 403, were paywalled or appear only in press. Five or more regulators touch each scheme; none owns the outcome; detection is reactive and penalties date from 1993.

Evidence and data gaps

The research flagged over 110 figures as conflicting, unverified or stale. The table lists those that matter most for decisions; the full lists are in the three research-notes folders.

Figure	Values in conflict	Status
Number of cooperative societies in Nigeria	370,000+ (Minister, 2025–26); 19,786 (federal CODAS database); ~30,000 (aggregator)	No audited register; national registry only being built (August 2026)
National cooperative membership	30m+ (Minister, CFAN); 5.2m credit-coop members (CFAN); 1.4m (EFInA 2010)	Irreconcilable
₦1.7trn cooperative sector	Described as "assets" in one release and "annual turnover" in another	Methodology and year undisclosed
Lagos cooperative capital, 2021	₦33bn (Commissioner) vs "over ₦180bn" (Cooperative College)	Five-fold conflict in the same year
Lagos society count	16,000+ registered; 2,359 revalidated; 807 accounts approved	About 15% demonstrably active
Small-company tax threshold (NTA 2025)	₦50m (EY, June 2025) vs ₦100m (PwC, all 2026 sources)	₦100m treated as operative; gazette unread
ISA 2025 Ponzi promoter fine	₦20m (most outlets) vs ₦40m (BusinessDay, Fintech Magazine)	Act text inaccessible
VAT registration vs small-company relief	₦50m vs ₦100m	Unreconciled in any primary source
CAC late-filing penalties	₦100/day; ₦5,000 flat; ₦50,000 + ₦10,000/day across sources	Official page returned 403
Cooperative registration fees	₦5,000–₦25,000 (blogs); "₦130,000 Lagos minimum" (snippet only)	No state publishes a schedule
Cumulative Nigerian Ponzi losses	₦911bn over 23 years (NDIC 2022); ₦300bn "recent years" (SEC 2025); CBEX alone ₦1.3–2trn	Orders of magnitude only

Figure	Values in conflict	Status
NLNG insider case sum (2015)	₦207m; ₦207bn; ₦2.7bn; ₦1.22bn drawn for ₦830m land	Treat as ₦0.2–2.7bn
NNPC Lagos cooperative membership	7,606 (website) vs "over 4,000" (press)	Caretaker side never reported
TotalEnergies cooperative assets	₦32.8bn (2017) to "over ₦66.3bn" (undated)	From snippets; undated on site
Housing deficit	14.9m; 15.56m; 17m; 22m; 28m	Author-dependent; no validated baseline
CoopEast estate budget	₦7.8bn (2019) vs ₦5.6bn (2022)	Likely scope change, unverified
Police cooperative FMBN loan	806 units/₦2.1bn; 606 units/ ₦4.74bn; "236 units/₦3bn" found nowhere	Approvals, not completions
NFIU cooperative revocation	₦298m owed; January vs November 2025	Press only; not checked against FCTA list
FMBN cooperative loan terms	₦500m, 10%, 24 months (2020–22 press)	May be revised; FMBN page not fetched
Construction cost per m²	₦150k–₦600k+ (2025–26); one source ₦60–85k	Two- to three-fold spread; no official index
Nicon Town plot values	₦5m (2001) to ₦160–200m (2022) to ~₦1.4bn asking (2026)	Blog and listing figures; no cooperative record
Cooperative member housing success rate	27.2% vs 38.3% (both Lagos, 2017)	Brief's 24–43% range unsourced
Kenya SACCO assets (WOCCU)	$21.8bn (2022 report) vs $8.3bn (2024 report)	Definitional change to regulated SACCOs only

What is simply unmeasured

- Default and loss rates for ajo, esusu, cooperatives and hire-purchase schemes in Nigeria.
- The number, membership and assets of staff cooperatives as a class.

- Participation rates in staff cooperatives beyond one 2009 sample (FUTA, 92%).
- Dividend as a percentage of savings, NPL ratios and portfolio composition for any Nigerian cooperative.
- Employer non-remittance exposure (Kenya publishes KSh3.9bn; Nigeria publishes nothing).
- Effects of staff cooperatives on retention, absenteeism or productivity.
- Member purchase prices for every flagship cooperative estate; only asking prices exist.
- Time from subscription to allocation, abandonment rates and post-allocation build-out for cooperative estates.
- FMBN cooperative-loan series, completion ledger or default list.
- A transaction-price index for Nigerian land or housing.
- Title status of most cooperative estates and any compensation outcome from a revocation.
- Investment-club numbers, sizes or returns; partnership failure or dispute frequency.

Primary sources that could not be read

CAC fee and penalty schedules; the full Nigerian Cooperative Societies Act (FAO copy partly unparseable); the Lagos Cooperative Societies Law 2022; gazetted Nigeria Tax Act and Tax Administration Act 2025; ISA 2025; SEC crowdfunding rules (image-only PDF); Lagos Partnership Law s.23; the 2026 Lagos Blue Book; FMBN CHDL page and annual reports; LASPPPA fee schedules; FCT ground-rent tariffs; ACFE 2024 report; USDA cooperative circulars; Estate Intel, Guardian Property, Proshare, Premium Times and TechCabal articles that carry the best case material (all HTTP 403). Every figure from these rests on secondary summaries or search snippets and is marked as such in the notes.

Implications

The issues point to the same conclusion for each audience: the problem is not that Nigerians lack the will or the money to invest together, but that the system around them offers no safe way to do it. Anyone acting on this should treat the seven root causes as the design brief.

- **For a group forming a scheme**: secure title or custody before collecting a naira; put every payment behind two signatures and an escrow or lender-controlled disbursement; write the deed, the sharing method, the exit valuation and the dispute route before the first contribution; apply a hurdle test (anything promising more than about twice the T-bill yield without a seizable asset is speculative); and budget the carrying costs of title, ground rent and infrastructure, which are 60–70% of a housing project, not the land.
- **For a staff cooperative committee**: publish audited accounts and an NPL, liquidity and dividend-on-savings figure every year; cap illiquid assets; reconcile employer remittances monthly and provision for arrears; limit terms of office; and treat the common-bond employer as a counterparty, not a guarantor.
- **For an employer**: the check-off is a fiduciary duty with 10% interest attached (Oredo); condition it on audited accounts; itemise it on payslips; enforce the one-third cap across all lenders; and expect industrial action if remittance stops.
- **For regulators and policy**: build the register before the bank (the national registry and CoopID should precede the proposed ₦200bn Cooperative Bank); set a quantified collective-investment threshold; write a ROSCA and digital-ajo rulebook; publish fee schedules and the Acts; tally employer non-remittance as Kenya does; and require escrow and layout approval before any cooperative estate may collect from members.
- **For researchers and data owners**: the cheapest high-value study is payroll administrative data on retention and indebtedness, and a longitudinal panel of cooperative estate subscribers from subscription to allocation.

The full analysis behind each stream is in the three reports and research-notes folders: *Pooled capital business structures*, *Staff cooperatives in Nigeria* and the *Cooperative housing estates Nigeria* notes (report pending). Figures cited here carry the dates and caveats recorded there.

Business rules, workflows and actors for each scheme: Business rules, workflows and actors